

[Table 52.9](#) shows busted pattern performance.

Busted patterns count. This is a count of the number of rectangles that see price move no more than 10% away from the breakout before reversing and trending in the new direction. It ranges from 26% to 51%. Half of rectangle tops in bull markets after downward breakouts will bust. Holy expletive!

Busted occurrence. I sorted the types of busts into three bins: single, double, and more than two busts (triple+). Single busts take first place for frequency, and triple+ busts usually come in second followed by double busts.

Busted and non-busted performance. I compared busted rectangle tops with their non-busted brothers and found that single busted patterns outperformed their non-busted siblings. The best performance comes in bull markets after busted downward breakouts. Those see price rise an average of 71%. That's a huge gain. It measures from the top of the pattern to the new ultimate high.

Because it's obvious when the downward breakout busts in a rectangle top, you should have time to place a buy stop at the top of the pattern and enter the trade when it completes the bust. The kicker is you don't know if it'll single bust, but the statistics say that two of three trades will single bust. That's good news, too.

Trading Tactics

[Table 52.10](#) shows trading tactics.

Measure rule, targets. The measure rule sets a target price. To find the target, compute the height of the rectangle by subtracting the value of the lower trendline from the upper one. Add the difference to the top trendline for upward breakouts and subtract it from the bottom trendline for downward breakouts. The result is the target price.